

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 23-04

PORTS AMERICA CHESAPEAKE, LLC,

and

MARINE TERMINALS CORPORATION-EAST

COMPLAINANT,

v.

APS EAST COAST, INC.

RESPONDENT.

RESPONDENT’S SUR-REPLY

I. INTRODUCTION

Complainants Ports America Chesapeake, LLC (hereafter referred to as “PAC”), and Marine Terminals Corporation-East (hereafter referred to as “MTCE”, collectively with PAC hereafter referred to as “Ports America” or “Complainants”), in connection with their Reply Brief filed with the Secretary on August 6, 2024, submitted nearly 300 pages of additional confidential documentation [CX_02044-2340] in purported support of Ports America’s newly expanded damages argument, which Respondent, APS East Coast Inc., (“APS” or “Respondent”) has not previously had an opportunity to address. Complainants’ Reply also raised certain new matters outside the scope of both their own Opening Brief and Respondent’s Brief. Accordingly,

Respondent files the foregoing Sur-Reply to address Complainants' additional materials and related arguments, and to address only a few of the misrepresentations set forth in Complainants' Reply Brief.

II. DISCUSSION

A. Complainants Raise New Allegation of Retaliatory Action by Respondent

Complainants in their Introduction, allege threats of retaliatory action by Respondent on the basis of disputed fees and charges. This allegation, raised for the first time in Complainants' Reply Brief, Doc. No. 38, on page 5, is false, offensive, and completely unsupported by any evidence in the record. Other than internal discussions regarding the possibility of denying Ports America access to APS's wholly-owned terminal due to Complainants' failure to pay their accrued access charges, the only other discussions of the possibility were between counsel in the context of confidential settlement talks. Accordingly, Complainants' late raising of that issue in their Reply is wholly inappropriate on several fronts.

Further, labeling as "threatened retaliatory action" [Complainants' Reply, p 5] the possibility of denial of terminal access to a commercial entity that has refused for well over a year to pay a duly-accrued access fee [RPFF No. 42; CPFF No. 104] – that has been paid by other users of the terminal – is the epitome of chutzpah. In plain terms, that argument boils down to the contention that anyone seeking to enforce an outstanding invoice is "retaliating" against those who are refusing to pay their bills. We sincerely doubt this is the view held by Ports America when they issue their own invoices for services provided, and such a far-fetched contention has no support. Rather, it is yet one more example of Ports America seeking to bully smaller competitors by abusing the Shipping Act and the Commission's processes.

In any event, permitting Ports America to raise new allegations beyond the Complaint without allowing APS the opportunity to respond more fully would violate due process.

B. Complainants Raise New Argument that Respondent is Not Entitled to Business Judgment Deference

Complainants also raise for the first time an argument that Respondent is not entitled business judgment deference [Complainants' Reply, pp 14-16] to which Respondent offers a brief reply.

Respondent had noted the Commission's precedents providing guidance with the regard to the considerable deference to be afforded in assessing the reasonableness of commercial decisions, and the Commission's holding that parties are to be afforded the discretion to exercise business judgment, citing to, *inter alia*, *Ceres Marine Terminals, Inc. v. Maryland Port Admin.*, 29 S.R.R. 356, 369, 372 (FMC 2001).

Complainants Reply for the first time raises the contention that the Commission has rejected the concept of allowing the exercise of business judgment [Complainants' Reply, p 15] and cites to *Ceres Marine Terminals, Inc. v. Maryland Port Admin.*, Dkt. No. 94-01, 1997 WL 35281266, * 37 (FMC Oct. 10, 1997). However, that citation is inapt.

Specifically, Complainants *must* know that the Commission decision to which it cited was appealed to the U.S. Court of Appeals for the Fourth Circuit, which remanded the matter back to the Commission. *Maryland Port Admin. v. Fed. Mar. Comm'n*, 164 F.3d 624; 28 S.R.R. 545 (4th Cir. 1998), which led to the decision cited by Respondents. Indeed, that case history is discussed in the later Commission decision at 2001 WL 1085428, at *1.

Complainants further misrepresent Respondent's argument as well as the Commission's precedents. Ultimately, Complainants concur with the standard outlined by Respondents in its Opposition. [See Respondent's Brief, Doc. No. 34, pp 23-24]

Contrary to the Complainants' misrepresentations, Respondent explained in detail why its actions were reasonable and well-supported by the factual record [Respondent's Brief, pp 24-25].

The record clearly addressed the just and reasonable practice of charging for access to its privately owned terminal, that it was both lawful and fit and appropriate to Respondent's ends of implementing a preferred stevedoring program (prior to May 2024) similar to such programs already in place at terminals operated by Complainants in the Port of Baltimore, for the reasonable business purposes of increasing efficiency and profitability. [RPFF Nos. 2, 13, 23, 29, 33, 34, 46, 50, 51, 52]

C. Complainants Submit Extensive New Supplemental Materials Seeking to Support New Damages Arguments

1. The Supplemental Materials should be rejected as moot

With its Reply, Complainants have produced nearly 300 additional pages [CX_02044-2340] which they allege support its contention that it has produced "damages evidence". [Complainants' Reply, p 32; fns 13 & 14]. The submission of additional, unattributed and unauthenticated documents in support of Complainants' claim of lost business is moot, because the Commission lacks jurisdiction to adjudicate a claim of lost business or interference with business, as detailed in Respondent's Brief. Accordingly, the supplemental materials should be rejected as moot.

2. The Supplemental Materials should be rejected as untimely

Without limitation to Respondent's challenge to the jurisdiction of the Commission to adjudicate a claim of loss of business and/or interference with business, Respondent further notes that the late submission of purported evidentiary material, after Respondent's Brief, is an impermissible attempt to supplement the record, while denying Respondent the opportunity to review and address such a submission, in violation of Commission Rule 216 (46 C.F.R. § 502.216). The proffered supplemental submission should therefore be rejected.

While Complainants argue that their production of various contract rate summary information and service and rate agreements with ocean carriers [Complainants' Reply, pp 32] somehow proves their damages, those materials, voluminous though they may be, do no such thing. To the contrary, the submission confirms that Complainants failed in their Opening Brief to provide credible, reliable evidence of damages. This flailing submission with their Reply Brief is an obvious attempt to get a second bite of the apple.

Notably, Complainants have not even asserted, indeed cannot assert, that the provided rate summary information or contracts are the source of their damage number calculations. To the contrary, Complainants appear still unable to calculate their claimed damages, and resort to a final request to be allowed a supplemental submission on damages in the event of a finding of liability. [Complainants' Reply, pp 34-35].

Nevertheless, Complainants seek to use their improper and untimely submission of supplemental materials as support for new arguments – beyond the scope of the Opening Brief and Respondent's Brief – in an attempt to resurrect their claim that they have proven damages to a reasonable degree of certainty [Complainants' Reply, beginning on p 30.]

3. The Supplemental Materials are unreliable and irrelevant

A review of the late-submitted supplemental materials shows their lack of reliability and irrelevance.

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[REDACTED]
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In short, none of the supplementary materials provides evidence of actual damages; and in fact, they undercut Complainants' argument with respect to damages causation. As noted in the Respondent's Brief, Complainants' only actual damage calculations were not provided to Respondent until approximately 12 and a half hours before the deposition of the final witness, Mark Schmidt on April 29, 2024, just prior to the close of discovery, on May 1, 2024.

Examination of Mr. Schmidt revealed that the calculations were mystery calculations – they were not attributed to any person with knowledge, and indeed Mr. Schmidt testified that he had no idea who prepared them, on what basis they were prepared, or whether they were reliable or not.

[RPFF Nos. 58-60]

4. Complainants bear the burden of proof of damages; not Respondent or the Commission

Complainants' argument appears to be that the voluminous, but unauthenticated, unverified, and unexplained materials somehow provide data that can be used at some point to calculate Complainants' claimed damages.

However, the burden to provide reliable evidence of damages, and to calculate the damages claimed, is Complainants', not Respondent's or the Presiding Officer's.¹ Complainants' misguided suggestion otherwise in their Reply, noted by extensive discussion on Reply pages 32 through 34 outlining a generic timeline of counsel's depositions of Complainants' corporate deponents, is unfounded and inaccurate.

5. Complainants misrepresent their lack of credible evidence of damages

Complainants misrepresent Respondent's challenge to Complainants "evidence" of damages. Respondent did not wrongly claim that it was not on notice of Complainants damages

¹ See discussion in Respondent's Opposition regarding the burden of persuasion vs. production in Shipping Act matters on pages 12-13.

claim as falsely stated by Complainants [Complainants' Reply, p 30]. Rather Respondent accurately noted that Complainants did not even attempt to articulate what those damages or how they were determined were until the 11th hour, when Respondents would have no meaningful time to review or assess the claimed "support" for the damages alleged by Complainants. [Respondent's Brief, pp 40-41.] Even then, all that Complainants provided was a mystery table of claimed damages, with no witness identified to take responsibility for the data or calculations, or how the damage figures were determined and established.

Respondent had requested Complainants' damages information continuously throughout the litigation, but Complainants' failed to timely provide the requested information. [Respondent's Brief, p 40; RPFF No. 58.] When received, Complainants' proffer still only provided estimated figures. [RPFF No. 58.] The estimates that were produced were not authenticated, verified, or signed and the last remaining witness to be deposed could not establish the methodology for how those numbers were derived. [Respondent's Brief, pp 40-41; RPFF No. 59, 60.] More specifically, Mr. Schmidt testified that he did not create the spreadsheet reflecting Complainants' alleged losses; he also admitted that he did not assist in computing the figures offered. [RPFF Nos. 60.]

The unauthenticated spreadsheets that purport to show allegedly lost business at Fairfield Terminals, but do not evidence the methodology as to how those numbers were determined, can in no way be relied upon to confirm that Ports America lost business generally, in contrast to having had the business shift elsewhere beyond Respondent's terminals. [CX_02040-2043]. Thus, Ports America cannot place any actual loss of business at the feet of Respondent.

Complainants have clearly not shown their damages to a reasonable degree of certainty, much less given Respondents an opportunity to meaningfully depose witnesses knowledgeable with respect to Complainants' estimates damages.

6. **Complainants' supplemental materials provide no evidence of causation of damages**

In addition, Complainants have ignored the fundamental issue of causation with respect to the Access Fee. They point to the newly produced documents as evidence that Respondents were provided with "damages evidence" throughout discovery [Complainants' Reply, pp 30-31] but their argument of what was previously provided only serves to undercut their causation argument. Complainants have provided no evidence that Respondent's access fee, that Ports America has not paid and has not passed on to its ocean carrier customers, caused them to lose any business. [Respondent's Brief, pp 43-44; RPFF No. 42, 43]

Further, Complainants have not provided any basis for the assertion that they are continuing to lose business when there is a uniform \$10 Access Fee applicable to all stevedores using Respondent's terminals for their commercial stevedoring activities.

Notwithstanding the implementation of a **uniform** \$10 Access Fee, applicable to all stevedores using Respondent's terminal, Complainants still claim that they are accruing damages at a rate of \$100,000 per month for lost business they blame on Respondent, citing to Mr. Schmidt's deposition, taken at the end of April 2024, when the uniform tariff fee was implemented months later. [Complainants' Brief, Doc. No. 32, p 64; CX_01161]

Complainants' lack of clarity and proof of causation with regard to their damage claims goes further. Complainants have asserted that the business they claim to have lost was at Respondent's terminal [Complainants' Reply, p 6]. But Complainants have not provided any evidence to show that business did not go to other terminals controlled or accessed by Ports

America, where it could have been stevedored by PAC or MTCE. [RPFF Nos. 1, 4, 61, 62, 63.] Complainants claim the business went to other stevedores, but do not cite any evidence for that claim.

Rather, Complainants' whole basis for their damage claim is the unproven summary assertion that PAC and MTCE had less revenue in 2023 and 2024 than in prior years [Complainants' Brief, p 62; CPFF 148]. Even if that assertion had been proven, Complainant's did not provide any evidence to rule out other potential causes of reduced business, from greater competition, negative commercial relations with its customers, lower trade volumes, movement of cargoes to other ports, trade patterns, or even channel closures.

Instead, Complainants point to one communication with one customer that did not want to pay the \$25 access fee. Complainants cite CPFF 146 for that contention, which illustrates a conversation between PAC and its customer. However, what Ports America glosses over is that the referenced conversation was initiated by PAC sending a letter to their customer which stated that it intended to pass through the \$25 charge to the customer, and that failure to accept the charge would result in PAC ceasing to provide services to the customer at Respondent's terminals. [CX_01572 & CX_01573].

Thus, it was not Respondent's imposition of the access fee that caused PAC to lose business, but rather PAC's aggressive negotiation tactic and desire to maintain its own profit margin. In any event, PAC did not pass through the access fee, and did not bear the access fee itself; by doing so Ports America created a commercial advantage compared to the other stevedore operating at Respondent's terminals, who did pay an access fee. In addition, the business was not lost in the sense that it was not coming back, but apparently on pause, as the

conversation between PAC and its customer clearly outlines both parties conveying interest in returning to a full partnership. [CX_01573]

D. Complainants misrepresent Respondent's S.E.C. v. Jarkesy Reference

While Complainants' arguments with regard to the recent United States Supreme Court decision in *Sec. & Exch. Comm'n v. Jarkesy*, No. 22-859, 2024 WL 3187811 (U.S. June 27, 2024)) are within the scope of Respondent's Brief, and would therefore not normally merit a sur-reply, Complainants somewhat outrageously contend that Respondent's reference to that new precedent is somehow a concession that its practices are unreasonable under the Shipping Act. That is false. Respondent therefore responds to Complainants' contentions with regard to the *Jarkesy* case solely to clarify the point.

Respondents firmly believe and maintain that its practices in connection with its wholly-owned terminals, representing a small fraction of the relevant market of terminals in the Port of Baltimore, have been in good faith, reasonable, and lawful under the Shipping Act.

Respondent's discussion of the *Jarkesy* case was to note the recent ruling of the Supreme Court that Congress, and by extension the congressionally-created federal agencies such as Federal Maritime Commission, may not "withdraw from judicial cognizance any matter which, from its nature, is the subject of a suit at the common law, or in equity, or admiralty." *Id.* at *13.

Respondents explained that claims for lost business or tortious interference with business have long been recognized in common law courts, and specifically in the common law courts of Maryland. (*See, e.g., Macklin v. Robert Logan Assocs.*, 334 Md. 287, 296–98 (1994).

Complainants did not dispute that fact, as indeed they cannot.

Further, Complainants do not distinguish their claim for lost business damages, such as they are, from common law tort claims. Complainants' circular argument is that their claims do

not arise under common law because they brought them under the Shipping Act, and the common law does not provide any remedies for violations of the Shipping Act.

Contrary to Complainants' misrepresentation, Respondent has never contended that the Commission lacked jurisdiction to determine whether certain actions complied with the Shipping Act or otherwise; which is why Respondent did not raise the *Jarkesy* case in connection with Complainants' Shipping Act allegations. Instead, Respondent called to the attention of the Presiding Officer a new, controlling Supreme Court precedent, as it was obligated so to do. Specifically, Respondent noted that as a result of the *Jarkesy* decision, the Commission does not have jurisdiction over Complainants' claim for lost business, found in Part VII of their Complaint, and discussed in Part V of Complainants' Opening Brief.

III. CONCLUSION

For the foregoing reasons, as well as those outlined in Respondent's Opposition, APS East Coast, Inc. respectfully request that Complainants be denied their requested relief, and grant all such other and further relief as may be just and proper.

Dated: August 30, 2024

Respectfully Submitted,

By: **/s/ Peter F. Black**

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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document by electronic mail upon the following persons/addresses:

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Dated: August 30, 2024

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